GOVERNMENT OF INDIA

Ministry of Heavy Industries

Driving Industrial Excellence and Self-Reliance

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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI H. D. KUMARASWAMY



HONORABLE MINISTER,

MINISTRY OF HEAVY INDUSTRIES

MESSAGE

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MESSAGE

The heavy industries sector forms the backbone of India's manufacturing capabilities, industrial competitiveness, technological advancement, and economic self-reliance. The Ministry of Heavy Industries plays a crucial role in promoting advanced manufacturing, industrial modernization, electric mobility, capital goods production, and the adoption of cutting-edge technologies that strengthen India's industrial ecosystem.

The Chamber of Commerce and Industries of India (CCI India) recognizes that a strong manufacturing base is essential for achieving sustainable economic growth, employment generation, export competitiveness, and technological leadership. Through policy advocacy, investment promotion, industrial partnerships, startup engagement, technology collaboration, skill development, and innovation facilitation, CCI India remains committed to supporting the Ministry's vision of creating a globally competitive manufacturing ecosystem.

This Knowledge Paper presents comprehensive insights into the Ministry's strategic priorities, industrial policies, flagship initiatives, investment landscape, emerging technologies, and opportunities for public-private collaboration. It highlights strategic sectors including electric vehicles, advanced manufacturing, automation, industrial machinery, green manufacturing, robotics, Industry 4.0, and sustainable industrial development.

Prepared as a valuable resource for policymakers, manufacturers, investors, technology providers, startups, research institutions, academic organizations, and development agencies, the publication aims to facilitate informed dialogue, encourage innovation, attract investments, and strengthen India's industrial capabilities.

As India moves towards becoming a global manufacturing hub, collaborative efforts between government, industry, and technology leaders will remain central to achieving industrial excellence. CCI India looks forward to working alongside the Ministry of Heavy Industries in building a modern, sustainable, and globally competitive manufacturing ecosystem.

Munindra Kumar
Director General
CCI India

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Preface

India's ambition to become a developed nation by 2047 encapsulated in the Viksit Bharat vision rests critically on the renaissance of its manufacturing and heavy industries sector. The Ministry of Heavy Industries (MHI), Government of India, stands at the epicentre of this industrial transformation. Charged with the mandate to develop, regulate, and promote heavy engineering, capital goods, and automobile sectors, MHI occupies a pivotal position in shaping the nation's industrial destiny, export competitiveness, and technological self-reliance.

The strategic importance of the heavy industries sector cannot be overstated. With India targeting a USD 5 trillion economy by 2027 and a USD 35 trillion economy by 2047, the capital goods and heavy engineering sector which serves as the bedrock of all other manufacturing industries must undergo structural transformation. The sector currently contributes approximately 1.9% of India's GDP and employs over 1.4 million workers directly, with significant multiplier effects across supply chains. Modernisation of this sector is not merely an industrial policy priority; it is a national economic imperative.

This Knowledge Paper has been prepared by CCI India Chamber of Commerce and Industry of India to provide a rigorous, evidence-based strategic analysis of the Ministry of Heavy Industries, its institutional mandate, evolving priorities, key challenges, and the substantial landscape of collaboration opportunities that exist for industry bodies, investors, startups, and development partners. The paper is designed to inform strategic decision-making at the highest levels of policy and industry engagement.

CCI India envisions itself as a catalytic partner for the Ministry of Heavy Industries not merely an advocacy body, but a strategic implementation enabler capable of bridging the critical gap between policy intent and industrial execution. CCI India brings to this partnership a national network of industry leaders, investors, research institutions, and global partners, combined with deep domain expertise in industrial policy, technology adoption, investment facilitation, and stakeholder engagement.

This paper is intended for Union Ministers, Secretaries to Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, development finance institutions, and international partner organisations. It is structured to provide actionable strategic intelligence across 21 thematic sections, culminating in a concrete Five-Year Strategic Roadmap and a targeted Action Agenda aligned with the Ministry's priorities and India's long-term industrial goals.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, staofkeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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1: INTRODUCTION TO THE MINISTRY OF HEAVY INDUSTRIES

1.1 Mandate and Governance Role

The Ministry of Heavy Industries (MHI) is the apex central government body responsible for the development and regulation of heavy engineering, machine tool, capital goods, automobiles, auto components, heavy electrical equipment, and consumer durables in India. Established as the Ministry of Industrial Development before being reorganised into its current form, MHI operates under the authority of the Government of India (Allocation of Business) Rules, 1961, which defines its precise legislative and executive mandate across 14 major subject areas.

The Ministry's governance mandate is to formulate policies for the industrial development of heavy industries, provide financial and technical assistance to public sector undertakings under its administrative control, promote foreign direct investment and technology collaboration, and serve as the nodal ministry for capital goods sector development. MHI plays a cross-cutting role its mandate intersects with the ministries of commerce, finance, science and technology, and skill development, positioning it as a systemic enabler rather than a sector-specific regulator.

1.2 Constitutional and Institutional Relevance

Under Entry 52 of the Union List (Seventh Schedule, Constitution of India), Parliament has the exclusive power to regulate industries whose control in the national interest is declared by law. Heavy industries including defence production inputs, strategic engineering, and capital goods fall squarely within this constitutional ambit. This constitutional foundation gives MHI both the authority and the responsibility to ensure that India's industrial base remains strategically self-reliant, globally competitive, and aligned with national security requirements.

The Industries (Development and Regulation) Act, 1951 provides the statutory backbone for MHI's interventions. The Ministry also draws regulatory authority from the Automated (or Automation) Industries Act and administers key provisions of the National Industrial Policy. The institutional relevance of MHI has grown substantially following the launch of Make in India (2014), Atmanirbhar Bharat (2020), and PLI schemes, all of which place heavy industries and capital goods at the centre of industrial strategy.

1.3 National Significance

Heavy industries are the foundational enablers of India's entire manufacturing ecosystem. Virtually every sector defence, infrastructure, energy, railways, aerospace, agriculture, and healthcare depends upon the capital goods and heavy engineering sector for its machinery, equipment, and tools. India's ability to achieve manufacturing self-reliance, reduce import dependence, and build technological depth in advanced sectors is inextricably tied to the strength of its heavy industries base. MHI is therefore not merely a sectoral ministry; it is an industrial sovereignty ministry.

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2: HISTORICAL TIMELINE OF THE MINISTRY OF HEAVY INDUSTRIES

2.1 Institutional Evolution and Policy Milestones

The Ministry of Heavy Industries traces its lineage to the era of Nehruvian industrialisation, when the Indian state assumed direct responsibility for building a robust capital goods and heavy engineering base as the foundation of planned economic development. The evolution of the Ministry reflects the broader trajectory of India's industrial policy from state-led protectionism to market-driven globalisation and, more recently, to strategic industrial nationalism anchored in technological self-reliance.

Year	Milestone	Strategic Significance
1948	Industrial Policy Resolution	State monopoly declared in 17 strategic industries including heavy plant, machinery, and machine tools. Government of India begins planned investment in heavy industry.
1956	Second Industrial Policy Resolution	Heavy industries designated as Schedule A (exclusive state domain). Hindustan Machine Tools (HMT) and BHEL established; foundational PSUs created to anchor the heavy industries base.
1961	Ministry Formation	Ministry of Heavy Industries formally constituted under GoI (Allocation of Business) Rules. BHEL, HMT, BEML added to administrative control of the newly formed Ministry.
1969	BHEL Restructuring	Bharat Heavy Electricals Limited reorganised as an integrated heavy electrical equipment manufacturer, reducing import dependence in power generation equipment.
1991	Liberalisation Reforms	Industrial licensing abolished for most heavy industries. FDI permitted in automobile sector (51% automatic route). Transition from state-directed to market-driven industrial policy begins.
2002	Auto Policy 2002	First dedicated automotive sector policy issued under MHI, providing a structured framework for FDI, R&D incentives, and component industry development. India becomes a global auto component hub.
2011	National Mission on Capital Goods	Conceptual groundwork laid for a dedicated national mission to develop the capital goods sector, targeting domestic value addition and import substitution in machine tools.
2014	Make in India Launch	Prime Minister launches Make in India; heavy industries identified as a priority sector. FDI norms further liberalised; defence manufacturing policy amended to increase indigenous content.
2018	National Capital Goods Policy (NCGP)	First-ever dedicated policy for the capital goods sector targets 12% annual growth, USD 100 billion turnover, and 20% increase in skilled workforce by 2025.

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